

IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO

State of Ohio ex rel. Dave Yost,	:	
Ohio Attorney General,	:	
	:	
Plaintiff,	:	Case No. 20IN06-149
	:	
vs.	:	Visiting Judge James L. Kimbler
	:	
The Landings Property Owners Association,	:	
Inc., <i>et al.</i> ,	:	
	:	
Defendants.	:	

DEFENDANT MULLINS BROS., LTD.'S SUPPLEMENTAL MEMORANDUM
IN RESPONSE TO COURT'S JOURNAL ENTRY

Mullins Bros., Ltd. files this memorandum to address the questions raised in the Court's February 23, 2024 journal entry. The evidence shows that Mullins Bros. deeded the Dam to The Landings Property Owners Association, Inc. and that the property owners association remains the valid owner of record despite the Ohio Secretary of State's cancelation of its articles of incorporation. Because Mullins Bros. does not own the Dam, there is no reason for it to remain in this lawsuit. Other questions may remain about whether the property owners association must transfer the Dam and to whom it may be transferred. Mullins Bros. can offer some input on those questions, but in Mullins Bros.' view, they involve issues that are largely outside the scope of their claims in this case.

The property owners association still owns the Dam

Mullins Bros. transferred the Dam to the property owners association in 2007. (Mullins Aff., ¶ 9, Ex. A-4) At that point, the Dam became "the absolute property of the corporation." R.C. 1702.35. To Mullins Bros.' knowledge, the property owners association has not transferred the parcel and remains the owner of record.

The property owners association still owns the Dam even though the Ohio Secretary of State cancelled the corporation's articles of incorporation in 2015. Under R.C. 1702.49(A), when a nonprofit corporation's articles are canceled, "the corporation shall cease to carry on its activities and shall do only such acts as are required to wind up its affairs, or to obtain reinstatement of the articles * * *, and for such purposes it shall continue as a corporation." Nothing in the statute suggests that a canceled corporation loses title to the property it owns. In fact, the statute demands the opposite conclusion. R.C. 1702.49(D) provides that the directors of a canceled corporation may continue to deal with the corporation's property by, for example, "mortgag[ing] or pledg[ing]" it, "sell[ing]" it, or "convey[ing]" it. R.C. 1702.49(F) provides that "[a]ll deeds and other instruments of the corporation shall be in the name of the corporation and shall be executed, acknowledged, and delivered by the officers appointed by the directors." In addition, R.C. 1702.50(A)(8) authorizes a court, in certain situations, to appoint a receiver "to take custody of" a canceled corporation's property. These statutory provisions have meaning and are operative only if a nonprofit corporation retains title to its property after its articles have been canceled.

This is true even if many years have passed since the cancellation and no steps have been taken to wind up the corporation's affairs. In *N. Kenova Dev. Co. v. Wilson*, 17 years passed before a canceled corporation wound up its affairs and sold its property. 4th Dist. Lawrence No. 08CA6, 2008-Ohio-6269, ¶ 1, 21. Although *N. Kenova Dev. Co.* involved a for-profit corporation, the governing statute—R.C. 1701.88—is, for our purposes, substantively the same as R.C. 1702.49. The court held that "there is nothing to suggest that a corporation whose articles have been canceled loses ownership of its assets, including its real property." *Id.* at ¶ 21. *See also Hamm v. Lorain Coal & Dock Co.*, 7th Dist. Belmont No. 20 BE 0028, 2022-Ohio-1048, ¶ 39. Under this authority, the property owners association still owns the Dam.

The restrictive covenants probably determine who can own the Dam

The Court's remaining questions relate to winding up the property owners association's affairs. R.C. 1702.50(A) authorizes "the corporation, a majority of the directors, or a creditor or member" to file a complaint that would give a court of common pleas jurisdiction over a nonprofit corporation's winding up. Mullins Bros. is not aware of any such action having been filed concerning the property owners association. Because Mullins Bros. is not "the corporation, a majority of the directors, or a creditor or member," it does not have standing to file an action under R.C. 1702.50(A).

Because this case does not involve claims under R.C. 1702.50, Mullins Bros. is hesitant to opine on what a court may be authorized to order in another, future case. *See Fortner v. Thomas*, 22 Ohio St.2d 13, 14, 257 N.E.2d 371 (1970) (cautioning courts to "refrain from giving opinions on abstract propositions and to avoid the imposition by judgment of premature declarations or advice upon potential controversies"). But it is clear from the evidence and law already presented that the restrictive covenants require a property owners association to own and be responsible for the Dam. Under the terms of the restrictive covenants, which are valid and enforceable, it appears that the Dam must be owned by a property owners association whose members must be the owners of the lots in the Phase VII and VIII developments.

Conclusion

Mullins Bros. does not own the Dam and is entitled to summary judgment in its favor on all claims against it.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing was served upon the following via electronic or regular mail this 26th day of March, 2024.

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